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Zoetis, Inc. (ZTS)

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CORPORATE PARTICIPANTS

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

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Michael Ryskin
Analyst, Bank of America Merrill Lynch

MANAGEMENT DISCUSSION SECTION

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Thank you for joining us for our next session. My name is Mike Ryskin. I'm based in New York on the Life Science Tools and Diagnostics Team and also have the pleasure and honor of being the animal health analyst here at Bank of America Merrill Lynch.

Joining me for the session is Clint Lewis from Zoetis. Thank you so much for taking the time to come out here and be with us.

QUESTION AND ANSWER SECTION

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

Just to start, maybe just to get the ball rolling a little bit, I would say, 2019 has been a very, very busy and eventful year for Zoetis and for the animal health industry overall. So could you give us an update of where we are now, your thoughts on the market overall, and sort of some of the major events that have transpired in recent months, just to set the background?

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

Yeah. First of all, Mike and BAML, thank you very much for the opportunity to showcase Zoetis here, and have the responsibility for the – all markets outside of the US. Done that for the last four years and prior to that I was the Head of the Business on the US side, so, hopefully that can take us in a number of different directions.

I would say, you know, coming into 2019, I would say the broader kind of geopolitical dynamic we were seeing far more kind of positives and tailwinds, if you will, with the notable exception being obviously the ASF dynamic that was really started to materialize towards the latter part of 2018, and we knew coming into 2019 it was going to be a headwind. But quite frankly, no one in the industry really knew the magnitude. I think we and others had kind of guided to maybe a 30% impact, but clearly, a number of the external puts and consistent with what we've talked about, that impact can be as high as 70%.

People have continually asked, understandably, where are we in the cycle with respect to ASF, and I would say, China, in and of itself, has weathered a fairly significant impact and working through, again, the initial bolus of that effort. And you'd say, okay, maybe we're in some sort of trough, but what you don't know is what the length of the tail of that trough is going to be, because you can appreciate that a number of the farmers that have been impacted, let's say disproportionately more what we call more backyard farms, that in essence has necessarily kind of significantly impacted that sector.

Many of the farmers who had been impacted also culled their herds in anticipation or fear of that dynamic and so there is a reluctance understandably to repopulate because again, they just don't know if they may very well be susceptible because some that had the financial resources to, some were impacted further, so again, there's very much a wait-and-see dynamic, but I would say clearly ASF has moved throughout all of the swine-producing provinces within China.

Additionally, we recognize that the viruses continue to spread outside of China into Southeast Asia, so, Cambodia, Vietnam, Philippines and even just recently Korea, this week has reported some impact with it so we're going to continue to watch that and also it's historically been more in Eastern Europe, Russia, Romania, Bulgaria.

So again, it's a significant headwind to those markets, for the customers in that market and while that is no doubt a headwind for those markets and those producers, it's also creating a tailwind for other protein sectors in China in those markets. It's also creating a tailwind opportunity for other large swine-producing markets in other parts of the world, and also creating eventual tailwind for other protein segments: beef, poultry and fish in other markets.

The question we get understandably, when do you start to realize that tailwind? And that again is going to take some time. How markets are responding right now to the impact of ASF, especially from a pork standpoint, is because largely many of these production facilities are at already high capacity. So they're breeding higher weight animals, more meat on carcass, but eventually, they will look to make capital investments to expand their physical plant. But that will take some time and that's notwithstanding tariff and trade dynamics between, let's say, US and Russia, and other things like that.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

All right. That's really helpful. That's a good start. And some other parts of the portfolio that have been under pressure, there have been some questions about, I want to focus on the cattle market, on dairy in the US, on the beef markets in the US, but also on some of the livestock markets international and some of the pressures on maybe feed additives and how they're being used, and how some of those regulations and approaches are changing.

So, again, if you go back a couple of years versus where you are to now – now, to where you might be in a year or two, sort of what's your view of all of this – all these dynamics and where do you see it shaking out and how do you see Zoetis specifically positioned with each of those individual factors?

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

Yeah. So I think that the macro trends that underpin this industry, I think continue to be robust. When we talk about population growth, we talk about GDP growth, middle-class growth, discretionary income especially in emerging markets, the changing of diet from let's say, more predominantly or exclusively grain-based to more protein-based, regardless of what the source, those trends are undeniable. They are continuing, and we see them as continued kind of positive buttresses, if you will, for the industry and for companies like Zoetis.

When you think about disease outbreaks like ASF, but even impacts of weather or other even geopolitical dynamics, one of the things we also say, right, disease outbreaks makes companies like Zoetis that much more valuable. So while there is no preventative or cure for ASF today, it still reinforces the importance of technology, modernization of livestock farming, biosecurity, husbandry standards and these play into products, programs and services that Zoetis offers.

Additionally, it also speaks to the diversification that Zoetis has. So unlike a number of our competitors, we are not dependent on any one species, on any one market, on any one therapeutic area, in any one particular business platform. And so, yes, while no doubt ASF has an impact, we have inherent number of hedges across species, across markets, across therapeutic and platform area that help to offset those dynamics.

Specifically to your question around cattle, let me start at the macro area. I would say, from a US standpoint, the beef and dairy segments were in a bit of a melee and that's been somewhat of a kind of a multi-quarter, multi-year dynamic, after a number of years of rebuilding of the herd, beef cattle herd, in the US when you had drought and other dynamics and US cattle markets had enjoyed a good return. Last couple of years, whether it's been around more rain, more cold, that's played in terms of how long, let's say, beef cattle may have stayed on pasture versus moving into the feedlot, that has a dynamic in terms of how hardy and robust those animals are. As they come into the feedlot, they become a little bit more resistant, if you will, to disease and so that's [indiscernible] (00:07:57).

But, long term, we still feel very good about the prospects for beef cattle, not just in US, but we think about globally, when I think about Canada, when I think about Mexico, when I think about Brazil, when I think about Australia, again, those macro trends still look good and again, when you add the ASF impact into it, the demand for protein across all of the segments, including beef, continue to increase. Dairy also has been more attractive. Now, compared to beef, it's a much more stable in terms of herd size – herd size, globally. It's one where a lot of the data has pointed to oversupply, given continued effectiveness and efficiency of the production. That has had a tempering effect on milk prices which has then impacted producer profitability.

As a city boy, I continue to be amazed at the resilience of farmers to play with the dimensions of supply and demand and so, dairy has been a little bit of the story on the come. There'll always be a second half, and whether it be second-half 2018, we talk second-half 2019, I think the reality is it's probably going to be more of a 2020. So eventually, if you think the long term, you'll get that dynamic between production and supply, I think in the right balance, to expect better pricing, if you will, for farmers, better productivity. And so, we continue to feel good about the dairy market on the long term.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

I'm glad you mentioned earlier the – some of the offsets that the diversity of the business provides. Because if you – you know, sitting here, if you didn't have the model in front of you, you didn't have the structure in front of you, we talked about ASF, we talked about dairy weakness, beef weakness, you'd think that Zoetis was missing and cutting numbers every quarter. And you guys just did 14% core operational growth in 2Q and your stock is up 50% year-to-date, despite all these issues.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

Yeah.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

So, a lot of that growth has been on the companion market that's had fantastic results...

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

Yeah.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

...in the first couple quarters...

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.
A

Yeah.

Michael Ryskin
Analyst, Bank of America Merrill Lynch
Q

...really strong results for several years now, but really outstanding more recently. Historically, it's really been the big three, your blockbusters of Apoquel, Cytopoint, Simparica driving that growth.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.
A

Yeah.

Michael Ryskin
Analyst, Bank of America Merrill Lynch
Q

And they're still performing, but more recently we've seen a kind of a more general uplift where the rest of the portfolio has started – performed a lot better. That's probably where we've been most surprised, the upside in our model. Could you talk about what's driving that? What's behind that strength in some of the legacy parts of the portfolio?

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.
A

Well, again if you think about, you know, in our largest single companion animal market being the US, I know there's debates around where is the economy going. But the reality is, for the last several years, the economy has been fairly robust and resilient. People have enjoyed in that and you see a much greater willingness then of consumers to be – continue to support and invest in the overall wellness and health of their pets, but also continue to go out and eat in restaurants and things like that.

So that has been, again, a positive, and we believe it will continue to be. We also believe it speaks to the portfolio effect. We said you know, the – part of the differentiative for Zoetis is not just great individual brands and great people, but it's really the portfolio of products, programs and services, being enabled by our sales and technical teams that have access to the customer and work shoulder-to-shoulder with them, and we're able to understand needs, wants, goals and challenges and tailor that portfolio in a way that's relevant and resonates with that customer.

It also insulates us because it just creates that much more of a wider moat, so that we're not as susceptible to either a branded or generic competitor that somebody says, hey, I can give you a particular discount on a particular product, these customers – and not just limited to companion animal. We've enjoyed a good swing of innovation in companion animal, but even across livestock, the customers were able to sit there and think about the basket of value that they get from Zoetis, and it doesn't make it susceptible to any one new product competitor.

Michael Ryskin
Analyst, Bank of America Merrill Lynch
Q

And speaking on the breadth of the portfolio, obviously you've done great work in recent years to support that with innovation, with some new product launches, Apoquel, Cytopoint, Simparica, over the last couple of years. Now people are starting to take a look at what's expected going forward. Obviously, you don't disclose much of your portfolio for – much of your pipeline for competitive reasons, but Simparica Trio, the triple combo, you announced that about a year ago, 2Q 2018, I believe, a lot of expectation of that. Why is that going to be the blockbuster as it's expected to be? Sort of what's unique about that market and what's unique about that product that's really going to drive the next leg of growth?

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

Yeah. No, I appreciate very much the question. I'll come at it from a couple of different angles. So if we think about the global canine parasiticides market, it's roughly about $4 billion and about $1 billion, $1.5 billion of that is the heartworm component. If you think about it from that standpoint, a disproportionate growth of that opportunity based on the [ph] base (00:13:09) is in the US, especially when you think about the prevalence of heartworm. But we're excited about the prospects to continue to grow ex-US as well.

Zoetis has historically under-represented in the parasiticides area. Now we've got a number of good assets. But again, for the breadth of the portfolio that we have in companion animal in the parasiticides space, we've historically under-represented there, compared to our competitors. So, roughly, I would say our market share today is somewhere around 10% to 15%, somewhere in that threshold, and so, clearly, a product that with three actives to address both external, internal parasites, as well as GI and heartworm, creates a compelling opportunity, we believe, also to expand the market.

Clearly, based on geographic prevalence of disease, also can create a compelling alternative to incumbents there. And for Zoetis, again, that has underrepresented in that largest category. We think it's an excellent combination, no pun intended.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

It's a little bit of a unique launch for you. It's sort of a unique launch for the entire industry because you're taking active ingredients that you have in other drugs, you're taking active ingredient from Simparica, you're taking the active ingredient from ProHeart, you're putting that together, you're adding a third ingredient, and you've got the concern for the potential for cannibalization, and you got to worry about: one, expanding the market; two, not having too much cannibalization; three, how do you target this, how do you price this so that it's compelling for existing customers, but also has some value proposition to you.

So how do you think about sizing the market and the opportunity here? Because that's probably the number-one question we've had over the last three to four months is put a dollar amount on the TAM here. And in animal health, in general, that's a huge challenge.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

Yeah. So, I mean, part of it is, as I said, trying to give some of that framing in terms of the size of the market today and the fact that we underrepresent in that regard, a lot of that work around the pricing, position and the opportunity is work in full transparency that's underway right now and making – part of that was, are we going to be, let's say, first to the market – first or second to the market? What scenario might play out in terms of the time to a second or third competitor, and we don't have the benefit of a crystal ball. We get access to some of the same information externally that you might, or that our competitors may talk about.

Also, the dynamic of what that ultimate label is going to look like and we're encouraged and have to start to provide some visibility in one of the more recent scientific congresses around the active that we have, but also the effectiveness of those actives, either in kill or in terms of lack of resistance. And these are kind of high hurdle rates, if you will, that the regulatory authorities, whether it be US or EU, have put in place for us. So we continue to be encouraged by what we're seeing as it moves through the regulatory dynamic, but the modeling of the various scenarios and what's that balance of both continue to expand the market, but also what we think could be the market share gain opportunity from other incumbents. And again, if we under-index, just if you think about even whatever that ratio of cannibalization, it will be disproportionately less on our end compared to other incumbents.

Michael Ryskin
Analyst, Bank of America Merrill Lynch
Q

Yeah. Right. And when you think about – part of the go-to-market strategy obviously is you're very reliant on the vet. The majority – the vast majority of your drugs are prescription in the companion animal space.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.
A

By design.

Michael Ryskin
Analyst, Bank of America Merrill Lynch
Q

Yes. And you've emphasized that increasingly that you believe the vet is the go-to gatekeeper...

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.
A

Yeah.

Michael Ryskin
Analyst, Bank of America Merrill Lynch
Q

...to the final end-customer.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.
A

Yeah.

Michael Ryskin
Analyst, Bank of America Merrill Lynch
Q

So – but at the same time over the last 1, 3, 5, 10 years, we've seen a gradual shift to alternative channels to online pharmacy, online distributors, retail stores. How do you reconcile your longer-term strategy and that general market shift?

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.
A

Yeah, so let me come at it from a couple of different ways. So to the point that you made, and I think it's an important one, we feel very strongly about the critical role that the veterinary plays in the healthcare equation and we believe that veterinarian, he or she, is the best to be able to diagnose and assess the disease, health and wellness and to define and prescribe the right treatment protocol. And the bulk of our portfolio today, the bulk of our pipeline will require prescription and in some cases, a good mix of that portfolio today and in the future also is injectable, so it will be administered by the veterinarian.

Now, at the same time, and it's not a contradiction, we also are open to choice in terms of where the pet owner, the ultimate consumer, gets their product from. Now, we still believe that a good portion of that is going to come from the veterinarian, but we also recognize that as alternative channels open up, while that may – first, I think it brings greater transparency in terms of pricing and so there may be some shift in terms of how the vet prices that product, in general to be in parity with other viable channels. It's not part of your question, but it is another piece of the component that let's say any reduction over time in terms of the contribution from the pharmacy, which historically has contributed, let's say, maybe 30% of the operating profit, we also believe will be offset by other platforms and services like diagnostics.

But again, I feel strongly about the role that the vet plays, and as a market-leader, have worked with those channels to the degree that we can, to help influence and shape how they think about the role that the vet plays. So, whether you think about big-box retail or pet specialty, you see a number of them either making decision or early experimentation of how they put a vet into that clinic – I mean into that operation, into the store. Mobile clinics and others, even the online channel, they may ultimately fulfill but they will do so after you're getting the prescription from the veterinarians.

So, we are trying to be purposeful, planful and thoughtful about how we look at these channels. We are not opposed to choice and the convenience aspect, let's say that the consumer is continuing to ask for. And making sure the products are available in as many place it can, makes sense. But we don't want that channel availability to disintermediate the important role the vet needs to be able to play in that.

Michael Ryskin
Analyst, Bank of America Merrill Lynch
Q

And you on that point you mentioned one of the other sort of alternatives for the vet in terms of fulfilling the hole in their pocket is the diagnostics of some of the services. And you made a move into this market in a big way. I mean you've had a presence historically with some rapid assay test and Scandinavian Micro Bio. But last year in the summer you made a big move with the acquisition of Abaxis with the – acquiring a point of care diagnostics offering.

It's been a little over a year now, just over a year since the deal closed, end of August, I believe. Could you give us an update on the deal sort of what are your – what were your initial thoughts on where this fits into the portfolio and how it can pivot Zoetis to serve the customer better? And just give us an update on the acquisition and where you stand today.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.
A

Yeah, great question. And I appreciate you also adding that Abaxis wasn't our first move into diagnostics. Now, it was a big move, but it was not the first move and that's important because we have long articulated the strategy and focus of Zoetis is about helping our customers whether it is companion animal or livestock, whether we're talking about veterinarians or farmers and producers. On the livestock side continuing to help them raise the standard of care, wellness, performance, productivity of the animals under their care and doing that through what we call the continuum of care.

And that continuum of care spans the following areas, right, detection, right, with diagnostics prediction, with genetics prevention as it relates to vaccines and treatment with various therapeutics and we frame our strategy that way because that's the way our customers see. And so the big move with Abaxis was a tangible kind of representation of that strategy in action.

Now, the deal for Abaxis also met kind of two big value drivers that we saw. First and foremost is to take the companion animal point-of-care platforms that Abaxis had largely in the US and geo-expand them because historically, Abaxis has been significantly underrepresented outside the US. With the exception of Canada and UK, they were really underrepresented and where they were participating were overly dependent on a patchwork of different country-by-country distributors.

So we saw a tremendous opportunity to leverage the global footprint and scale that Zoetis has with our people, technical expertise, other complementary products to take the existing companion animal portfolio and geo-expand it.

We're not giving up on the US. US is the largest market. It's the most mature, advanced market. And we believe, again, leveraging the existing assets and capabilities and people we have in the US also provide a compelling value proposition for our customers. But again, a big driver of that deal was the ex-US expansion for companion animal.

The second one, more global, more blue ocean, more longer term, is the ability to take those platforms whether it be Abaxis, SMB and even lateral flow from Synbiotics and think about the application of developing point-of-care diagnostic tools for livestock producers and veterinarians. Again, more longer term, but we see that as a tremendous opportunity.

And when you look at that competitively, compared to an IDEXX or some other, they're not represented in any meaningful or significant way in a livestock, and it's not a key area of strategy or capital deployment for them in that regard.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

Yeah. And I mean – so, for both of those as you mentioned, the livestock is still – you're not there yet. It's still years away. It's still in the product...

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

Right.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

...building pipeline phase and even the geographic expansion, just getting the ball rolling. So this is still a long, longer term opportunity.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

It's a strategic play.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

Yeah.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

It's a long-term play. And from that standpoint, 2019 is very much learning. It's defining. It's staffing, right? So, again, Abaxis not being present, we needed to staff diagnostic specialists in all of the major ex-US markets. We needed to also staff what we call a diagnostic application specialist, and these are ones that are working with the installation and the plug and play. And we're working on in-market break/fix dynamics. We also needed to build in essence a back office customer care support network, and that's all work that's being done as we speak in 2019.

I, we, are very encouraged about the progress that we're making on that. Obviously, there's also been previous discussions about taking the Abaxis platforms that sat on legacy CRM and kind of financial reporting software systems and integrate that into our SAP and our CRM systems. And we've kind of guided that that work is underway and we expect to have completed that by the beginning part or early part of 2020. And I'm so very much pleased on how that's tracking.

And the last, but certainly not least I would say the legacy distribution agreements that Abaxis had outside of the US largely were annual based contracts, really sunset at the end of 2019. And so, we're also actively assessing what that go-to-market model is going to be in each of these markets and what's the appropriate role that either existing or different distributors can play? And this – we will also gain leverage of the existing distributor relationships we have in many of these various end markets.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

And I wanted to take a step back now because you mentioned something that I've been thinking about for a while, a bigger picture, not just on Abaxis, but you talked about the difference in terms of the market US versus OUS, in terms of how developed it is. Now, Abaxis, I think was 80% of revenues in the US.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

Correct.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

15% EMEA, 5% rest of world. IDEXX, not quite to that extent, but still very heavily...

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.
A

Yeah.

Michael Ryskin
Analyst, Bank of America Merrill Lynch
Q

...overexposed to the US relative to the rest of the world.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.
A

That's right.

Michael Ryskin
Analyst, Bank of America Merrill Lynch
Q

Beyond diagnostics, even as you think about therapeutic utilization, it tends to be much lower in international market.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.
A

That's right.

Michael Ryskin
Analyst, Bank of America Merrill Lynch
Q

Why is that the case? Particularly, thinking about companion animals – in a lot of ways we think even of – sort of Western Europe as a "developing market" in companion animal, drug utilization, diagnostics utilization, people's willingness to spend money on pets. Fundamentally, what's behind that and sort of what can you do to drive that higher?

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.
A

I think much of it is all moving in the right direction. Right?

Michael Ryskin
Analyst, Bank of America Merrill Lynch
Q

Yeah.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.
A

So there – that – maybe a different relative stages on the same continuum. I would say that we can categorize these markets in different ways. Right? So developed – developing market. Another way we look at it is kind of medicalization rates. And we try to say, especially to help you all in your models and think about what are kind of empiric or quantitative ways of thinking about these markets. One of the ways we look at is medicalization rates.

So in your developed markets for companion animal would start obviously with the US. We say kind of EU5, EU7, Canada, Japan, Korea, South Korea, Australia. Here, you see the medicalization rates defined as the willingness, and in some cases the availability or accessibility of a pet owner to take a companion animal to the veterinarian, for that animal to get a standard or core set of either vaccines and/or preventative. In those developed or mature markets the medicalization rates ranges from the mid to high-60s to the mid-70s, in that regard.

Conversely, in your emerging or developing markets, let me just pick on Brazil and China is two great examples where they're very large developed livestock markets, but very much growing, emerging, developing as it relates to companion animal. In fact, those two markets in themselves are probably two fastest growing emerging markets and when you think about the size of the population in those market it's not hard to see that in time, they can become two of the largest companion animal markets.

But here, the medicalization rates range somewhere from the mid to upper-20s. Right? To the mid to upper-30s. In some cases that medicalization rate also in terms of what comprises it, can also be a little bit misleading because in some of the emerging and developing markets, it may be defined by compulsory rabies vaccines that are mandated by government, but not preventative than some of the other specialties that we work in.

But that gives you a sense of where these markets are today, and the continuum that they're on. But also the headroom, the opportunity that continues to be there, not only for let's say traditional products that have been on the market for us and others for a number of years. But it also speaks to the exciting possibilities for some of our newer products like Apoquel, Cytopoint, Simparica and eventually the combination products.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

Yeah. So is it – in those developing markets, is it economic sensitivity? Is it people's discretionary income? Sort of what – is there any one factor you'd point to?

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

No. It's a [ph] yes and (00:29:44), right?

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

Yeah.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

It's, in some cases, the availability of innovation, right? So again, think about in a market like China. Today a product that exists in the US and Europe probably will not get to China for another five, six years and especially longest in the vaccines, right? But in other cases, maybe more quicker to market and more developed. It takes even that much longer because one understandably reluctant to bring any of these strains into China. Then if you can isolate it in China, then you have to do local studies in China, so that adds some of that cycle time.

That said, the Chinese government, I also want to recognize, is continuing to find ways to modernize their regulatory system because they too recognize to meet their growing needs they also want to make sure that they are responding and embracing innovation. And I've been encouraged even in the four years, for example, that I've been associated with the international markets how they have worked to accelerate the adoption. We've just launched Apoquel, is a great example, in China, the early May of this year. So I think the possibilities are very much exciting.

Some of it is – so regulatory side one, some of it is just the accessibility to these tools. Other is just the sophistication of the veterinary community, right? So again, not to pick on China, but the notion of kind of board-certified dermatologist, that speciality does not exist in China. So even as we think about going to market and launching a product like Apoquel or Cytopoint is very much about market building, right, and how you start to help them understand disease awareness, differential diagnosis, as well as helping them understand the solutions that may exist to help them address that. And I think it's exciting then for the future. Diagnostics is another area.

So, even in developed markets like Europe, Australia, Japan, we're still very much at a nascent period. And in them understanding and also utilize or incorporating diagnostics into their practice and especially when you think about it in clinic point of care diagnostics, so.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

We've got about 10 minutes left, I want to see if there's any questions from the audience real quick.

Q

I have a question regarding your diagnostics acquisition, Abaxis. I was just wondering who the IP actually belongs to and who is the manufacturer of the instruments and the consumables. Is there any danger of the patents expiring and how would that affect like new product development? Thanks.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

I would say not too dissimilar between ourselves and other competitors in the space. You do have a lot of kind of OEM manufacturing where they are manufacturing or in some cases we're licensing in that technology in. I would say for some of the core areas that we have in terms of, for example chemistry, my general understanding we own that IP and we're manufacturing that product and that's a lion's share of the revenues now and at the future.

What that IP estate looks like, we can always get back to you. But again, we're not at any competitive disadvantage, I would say in terms of both our existing portfolio, but also how we compete next to some of our competitors in that regard.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

Part of the – actually part of your Abaxis chemistry portfolio, I believe was manufactured by SMB by Scandinavian Micro Bio...

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

Some of it.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

[ph] ...that part of the deal (00:33:20).

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

But again this was also one of the drivers of the SMB deal...

[indiscernible] (00:33:21).

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

Exactly.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

Less commercializable products, but more in terms of capability.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

Exactly [indiscernible] (00:33:27). Real quick. I want to touch on just the stock move year-to-date and sort of some of your thoughts on it and some of the feedback you've probably had in some of your meetings. I was talking to a client recently. He described to me that his stake in Zoetis, he feels like it's a warm blanket. And that's how he thinks about the stock every night because, across all of healthcare, there's questions on drug pricing, there's questions on Medicare reform, on patent cliffs, on clinical trial risk, on distributor risk and these are all questions that keep clients up at night. And for Zoetis, high-single digit organic revenue growth, great margin expansion, great free cash flow. None of those other pressures that I highlighted are overhangs. So I think that...

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

I want to meet that investor and give him a hug.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

So, it's not just one person that feels that way. So, your stock is up 50% year-to-date. Clearly, there's some factor of fund flows and safety haven investing there. So, what's the feedback you've gotten from investors this year in terms of what are their pressure points, what are they focusing on, sort of what are the key drivers that they're looking to for the next 6, 12 months?

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

Yeah. I think – even in some of the meetings that we had today, it's great to see the evolution in understanding and, quite frankly, the kind of the education and understanding base of your peers in understanding the uniqueness of the animal health industry, right? So they have a much better understanding of the macro trends that underpin this industry, whether it's population growth, GDP growth, pet ownership, pet adoption, spending on pets, pets living longer, I mean. So, protein, diet changes, all of those things I would say are undeniable macro trends, and we don't waste any time debating those macro trends. And I think there's a much better understanding of it.

I think also there's a much better understanding that this is a industry, and – in the case of a company like Zoetis, that we take what I would argue is some of the positive, let's say of – let's say human pharma from a standpoint of focus on innovation, the commercial engine that supports that, but also recognizes that we're not encumbered by the dynamic of single or government payer, tertiary payer, a push to drive cost out of the system, patent cliffs with respect to generic exposure, and others. Those are just not factors that are major or significant headwinds or even a nature of the customer or stakeholder landscape.

They also recognize that, again, if you think about the livestock side of the business, today, if you look at all of the operating costs for the typical livestock customer and you look at what percentage the medicines, you got to even add the vet cost into it and we're talking $0.03 to $0.05 on $1. And I think while everybody is price sensitive in their own way, they recognize they don't need to go to business school to recognize you're not going to get much more profitability sustained by shrinking that 3% to 5%. It's really around how do I work with the companies that represents a component of that 3% to 5%, i.e. Zoetis, and work to impact the other 95% to 97%.

They also recognize that things like branding, the ability to put forward – create a level of stickiness, allow us to get a greater share of wallet, we're able to move into complementary, into adjacent spaces like diagnostics, like sensors. And again, we're able to tailor those in a way that they're relevant to the customer. So, I think, again, over the six years since we went public, there's a greater understanding, there's a greater appreciation, and I would say we don't want to live in the rhetoric space, right? So, it's critically important that we define a set of aspirations, we define a set of targets, and we hold ourselves accountable before you hold us accountable to making sure we're consistently delivering on that. That doesn't guarantee tomorrow success, but it means it continues to better position us for a success tomorrow.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

And speaking about better positioning, I mean, we've talked on Abaxis and some of the other acquisitions. Since the company's gone public, you first acquired PHARMAQ to get into aquaculture, then Scandinavian Micro Bio and Abaxis into diagnostics, Smartbow into some of the devices, really building out a portfolio as you said becoming more of a end-to-end solutions provider. So, what's the next step? Where are you under-represented or where do you see the opportunities for further capital deployment to sort of broaden the portfolio even further?

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

Well I think in some cases within those existing kind of verticals, if you will, I think there's still more we can be doing, right? So, as we talk about developing diagnostics or even again if it's through some sort of partnering OEM, acquiring into point of care for livestock, we're going to be doing that. That's a place that we clearly want to make sure we deepen our capability. This notion of the connected pharma and the role that data and analytics play in that, and that's where, quite frankly, those capabilities don't exist largely in any of the companies that operate in our space.

And so again, through acquisitions like Smartbow, through partnering with other entities, we see that's an opportunity continue to invest and grow. When I talked about that continuum of care, under that prediction tower where genetics play, right? So, we're a leader, but in a very small segment of animal genetics, really around specific markers that lead to certain characteristics, whether it's around marbling, tenderness in beef, whether it's around milk quality in the dairy segment. This is an area that, again, we are interested in learning more and doing more because we believe, just as we've seen in segments, like human health, the genomics and genetic applications, we do think are going to continue to drive greater levels of health, wellness, and productivity.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Q

Any other questions from the audience? All right. I think – in the interest of time I'll just do one last one to wrap up sort of our defaults ending question on the team is what's most misunderstood or sort of what's the pressure point you get from investors or from other sell-side analysts the most that you wish you could correct? What's the misconception?

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

A

I think – I mean, I don't think it's something that we're having trouble convincing. I think it's just spending the time discussing it, right? So, I'll give a couple of them and some of them we've discussed even here today in the discussions, right. One is the impact of ASF. Obviously, you can't pick up a newspaper and not hear something about ASF in China, Asia, Eastern Europe, and wonder is that a major headwind?

So, is it a material headwind? It is. But it also speaks to the diversity of Zoetis. One, from a standpoint, we're in the innovation game. So, listen, we can't guarantee that we're going to bring a vaccine for ASF. But we're working on it. And we've demonstrated in the past that we can be first to know and first to market. Again, does not guarantee that we're going to do that with ASF. But it also speaks to the rich diversity because we're not dependent on any one market, any one species, any one geography, any one platform.

Another question with respect to, again, alternative proteins, for example, listen, we're a big believer in choice. We're a big believer in innovation. And we understand why there's experimentation investment and emerging companies moving in different levels of valuation. But if that represented a significant disruptive factor to meat or protein production globally over some whatever extended time period you want to, even for the most institutional investor, and we don't see that as significant, right? That doesn't – again, we love the choice, we love the experimentation, we love the innovation, but we don't see that as a material headwind to our business.

And I think, just continuing to explain that while you'll always have kind of, again, economic cycles up or down, this has been a very resilient, durable industry, and Zoetis has continued to be a leader in the pack in that regard.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Great. Thanks, Clint. Appreciate it.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

Mike, thank you.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Thank you so much.

Clinton A. Lewis
Executive Vice President and Group President, International Operations, Commercial Development, Global Genetics, Aquatic Health and Human Medical Diagnostics, Zoetis, Inc.

Thank you. Appreciate it.

Michael Ryskin
Analyst, Bank of America Merrill Lynch

Thanks, everybody.